AUDIT BRIEF · Florida (FL)

Before auditing paid factory-warranty claims
Verified 2026-10-23 (statutes) · Built 2026-10-23 · FL-audit-brief-2026-10-23

Covers: Factory warranty, maintenance, service, recall and CPO claims (same rules); incentives (own 12-month window from the incentive payment; separate export rule). Service contracts issued by a non-manufacturer affiliate: unresolved. **3 items need legal review (section 5).**

1. Audit eligibility

Which claims and programs can be audited, how far back, and from what date.

Audit window. 12 months from the date the claim was paid (incentives: 12 months from the date the incentive was paid). Not from the repair or submission date. § 320.64(25)

Post-window exception (fraud etc.). None. After 12 months every payment is final 'for any reason'; there is no fraud carve-out. § 320.64(25)

Deadline to take the chargeback. Not stated. The required process (meeting, 45-day response, final notice, 30-day protest) can run past month 12, when payments become final. Legal review required. **[Legal review]** § 320.64(25)

Chargeback only from a timely audit. A post-payment chargeback must come out of an audit performed inside the 12-month window; a desk review or system sweep started after month 12 has no statutory basis. § 320.64(25)

2. Planning restrictions

Frequency cap, notice, selection basis and permitted reasons for an audit.

Audit frequency cap. One warranty, retail-repair or service-related audit per calendar year (not rolling), and audits must be 'reasonable and periodic'. Incentive audits are not named in the cap. § 320.696(2)

Selection basis disclosure. Required: a written statement of why the dealer was selected, handed over at the post-audit meeting. Document the selection rationale before fieldwork. § 320.64(25)

Permitted basis for an audit. Audits must be reasonable and periodic and limited to validating paid claims; never to coerce a dealer out of its rights or as retaliation for using them. § 320.64(25)

3. Testing and findings

Chargeback grounds, documentation limits, clerical errors, sampling and extrapolation, proof, recovery scope.

Grounds to charge back a paid claim. Two only: the claim was false or fraudulent, or the dealer failed to substantially comply with reasonable, written, uniformly applied procedures. Missing 'all' claim-coding requirements is not a ground. § 320.64(25)

Grounds to deny an unpaid claim. The same two grounds; a denial needs no audit. No denial of used-vehicle warranty or recall repairs because of how the need was found. § 320.64(25)

Who must prove what. The licensee must 'show' the ground and may recover only what it has 'proven', claim by claim, with documentation at the meeting; it bears the burden of proof in any DHSMV hearing. § 320.64(25)

How much of a claim may be recovered. Only the portion of a claim proven false, fraudulent or noncompliant; never the whole claim for a partial defect. § 320.64(25)

Limits on procedural (documentation) chargebacks. A procedure-based chargeback needs SUBSTANTIAL noncompliance with procedures that are reasonable, written and uniformly applied; unwritten or non-uniform procedures can't support one. § 320.64(25)

Clerical and technical errors. No express clause, but a minor coding, description or processing defect on a valid repair is not a ground: failing 'all' claim requirements can't be charged back, and only substantial noncompliance counts. § 320.696(2)

Sampling and extrapolation. Not addressed. The text is claim-specific ('only that portion … proven'; 'each of the claims'); treat projection from a sample as unavailable without legal advice. § 320.64(25)

4. Chargeback process

Written reasons, dealer response and cure, internal appeal, stay during a dispute, timing of the chargeback.

Mandatory post-audit meeting. Mandatory: within 30 days after the audit, meet the dealer's designee (in person, phone or video) before any chargeback. Miss the meeting and the chargeback is lost. § 320.64(25)

Written reasons. At the meeting: a detailed, claim-by-claim explanation with supporting documentation, plus the written selection statement. After internal dispute steps: written notice of the final amount. § 320.64(25)

Dealer response period. At least 45 days after the meeting, longer if claim volume warrants. The period restarts if the licensee raises new information. § 320.64(25)

Internal appeal. Not mandated. If the program offers one, it must finish before the final written notice goes out. § 320.64(25)

Stay pending dispute. A DHSMV protest filed within 30 days after the dealer receives the final notice stops all recovery (debits, netting, withholding) until a final, unappealable determination. § 320.64(25)

Minimum wait before taking the chargeback. No express wait, but recovering before the 30-day protest window closes would defeat the protest right; earliest practical date is 30 days after the dealer receives the final notice, with no protest filed. § 320.64(25)

New information after the audit. The basis presented at the meeting can change only on new information received within 30 days after the audit ends, and then the meeting and response rights start over. § 320.64(25)

5. Exceptions and escalation

Unusual state rules, legal-review flags, penalties and where the dealer protests.

Used-vehicle warranty and recall repairs. No denial, reduction or chargeback of used-vehicle warranty or recall repairs because the need was found during an unrelated repair or because the dealer told the customer about a recall. § 320.64(41)

Export and resale chargebacks. Export/resale chargebacks need proof the dealer knew or should have known (a U.S. title or registration presumes it didn't), a separate meeting, a 15-day minimum response, protest and stay, and written notice of the export within 12 months of the SALE date. § 320.64(26)

Loaner and rental program payments. Loaner or rental program payments can't be withheld because the loaner is titled to the dealer's affiliate, if the dealer meets written, uniformly enforced eligibility and reporting rules. § 320.64(39)

Uniform and nondisparate application. Audit and chargeback policies must be applied uniformly and nondisparately among the licensee's Florida dealers. § 320.696(2)

No recovery of warranty compensation costs. No audit fee, surcharge, holdback or offset to recoup warranty compensation costs. § 320.696(6)

Parts furnished at no cost. Markup is still owed on parts the licensee supplies at no cost for recalls, campaigns or warranty repairs (less dealer cost); don't charge back the markup. § 320.696(3)(c)

LEGAL REVIEW REQUIRED — Chargebacks finalized after month 12 from a timely audit

§ 320.64(25) allows a chargeback only from a timely audit and then requires a process that routinely ends after month 12, when the same subsection makes every payment final 'for any reason'; the text does not say whether a timely audit preserves a later chargeback.

Action: Obtain legal interpretation before taking any chargeback more than 12 months after the payment date, and schedule Florida audits early enough in the window that the meeting, 45-day response and final notice can be completed inside 12 months of payment. § 320.64(25)

LEGAL REVIEW REQUIRED — Calendar-year audit cap and incentive audits

§ 320.696(2) caps warranty, retail-repair and service-related audits at once per calendar year; incentive audits are regulated separately in § 320.64(25) and the cap does not name them.

Action: Obtain legal interpretation before conducting a second audit of any kind at a Florida dealer in the same calendar year; until then treat incentive audits as subject to the once-per-calendar-year cap and to the "reasonable and periodic" standard. § 320.696(2)

LEGAL REVIEW REQUIRED — Service contracts issued by a non-manufacturer common entity

§ 320.696(1)(a) excludes service contracts issued by a non-manufacturer affiliate from the compensation rules, but § 320.64(25) applies the 12-month window and chargeback process to all 'service-related payments' without that carve-out.

Action: Obtain legal interpretation before auditing or charging back service-contract claims paid by or for a non-manufacturer affiliate on any basis that would not satisfy § 320.64(25); until then apply the (25) window, grounds and process to all service-related payments. § 320.696(1)(a)

If done wrong. An audit or chargeback that violates § 320.64(25), or any failure to meet § 320.696, is a licensing ground (denial, suspension or revocation on a pattern of wrongdoing) and makes the licensee liable for any single violation to treble the dealer's pecuniary loss plus costs and attorney's fees with the burden shifting to the licensee after a prima facie showing (§ 320.697), to an injunction without bond (§ 320.695), and to a DHSMV proceeding (§ 320.699).

Where the dealer protests. Protest to the Department of Highway Safety and Motor Vehicles within 30 days after the dealer receives the written notice of the final proposed chargeback amount; a timely protest bars any action to recover until the department's final, unappealable determination, with the burden of proof on the licensee. Dealers may also request a § 320.699 administrative hearing or sue under §§ 320.695 and 320.697. Fla. Stat. § 320.64(25); §§ 320.695, 320.697, 320.699

Not expressly addressed in the reviewed statutes (verified 2026-10-23): advance audit notice; right to cure or resubmit.

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